Parshwanath Capital Ventures Fund
SEBI Registered Category III Alternative Investment Fund | Registration No. IN/AIF3/25-26/2108
Fund Manager: CA Deep Dalal | **Sponsor:** Jignesh Shah

IPO ANALYSIS REPORT · RHP

BLS Polymers Limited

Mainboard · Polymer compounds for wires, cables and pipe coating · filed 2026-10-17 · lead manager(s): Unistone Capital Private Limited · issue size Rs 255 cr · price band: Rs 142-150 (press reports; exchange notice pending) · analysed 2026-10-22

CALL

Avoid

BUSINESS STAGE

Scaling (capacity expansion under way)

A profitable, cash-generative polymer compounder doubling capacity, priced at 34.5x FY26 earnings after the issue against a 14.5x peer median; our fair value is Rs 81 (Neutral) against Rs 150, because growth in the core manufactured business has been flat and the price already pays for the expansion.

Revenue FY26 **₹349 cr** CAGR FY24-FY26: **8.6%**	PAT FY26 **₹27 cr** CAGR FY24-FY26: **89.5%**	EBITDA margin **12.0%** FY24: **5.5%**	Cash conversion (CFO / PAT, 3 yrs) **118.3%**
Cash tax rate (3 yrs) **24.7%**	P/E at reference (post-issue) **34.5x** peer median: **14.5x**	Adjusted P/E (earnings quality) **35.4x** reported: **34.5x**	Blended value (Neutral) **₹81.48** vs reference: **-45.7%**

Reference price

₹150

Upper band Rs 150 (press reports; exchange notice pending). At Rs 150: market cap Rs 930.48 cr post-issue; P/E 34.5x FY26 EPS on post-issue shares (25.0x pre-issue); P/B 2.66x post-issue; EV/EBITDA 17.3x FY26 operating EBITDA. Objects floor Rs 98.27 (capex + working capital over 1.70 crore fresh shares).

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For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

At a glance

The call, the key numbers and the basis of the analysis.

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Mainboard · RHP

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Basis. Red Herring Prospectus dated 17-Oct-2026: a 100% book-built **fresh issue** of up to 1,70,00,000 equity shares of Rs 10, with Unistone Capital as sole BRLM and KFin Technologies as registrar. Anchor

> bidding 26-Oct-2026; bid/issue **27-Oct to 29-Oct-2026**; allotment on or about 30-Oct; listing on NSE and BSE on or about 3-Nov-2026. The RHP leaves the price band blank; **press reports give Rs 142-150 and a lot of 100 shares**, but no exchange or SEBI notice had been published when this note was written (22-Oct-2026), so the band is **unconfirmed**. At Rs 150 the issue is Rs 255 cr. Restated standalone financials run to **30-Jun-2026** and are **114 days old**. All figures are from the RHP (Rs lakhs converted to Rs crore); printed page numbers are cited (printed page = PDF page - 4).
>
> Judged at the reported **upper band, Rs 150**. Holding period assumed: 2-3 years. Grey market premium is not used. Written from an investor's point of view under the Fund's standing rules.

1. Business of the company

- **What it makes:** custom-formulated polymer compounds (127 grades): polyethylene compounds (HDPE, MDPE, LLDPE), cross-linked polyethylene (XLPE), halogen-free flame-retardant (HFFR), PVC, cable-filling and adhesive coating compounds (pp. 123, 247-248). They are used to insulate and sheath power, telecom and railway cables, and as layers of the three-layer polyethylene coating that protects oil, gas and water pipelines.
- **Who buys it:** cable makers and pipe coaters. FY26 revenue by division: wires and cables 80.93%, industrial pipelines 19.07%; by end-industry: telecom 35.10%, water 16.93%, power 14.00%, oil and gas 2.14%, others 31.83% (p. 248). Top-10 customers were 66.81% of FY26 revenue and the largest 31.74% (p. 27). Exports were 5.46% of FY26 revenue (p. 46).
- **How it earns:** manufacturing margin on compounds, plus trading of polyethylene resin. Trading ("procurement and supply" of HDPE and LLDPE resin) was Rs 41.00 cr / Rs 85.72 cr / Rs 111.32 cr FY24-26, or 13.83% / 26.10% / 31.86% of revenue (p. 33). Manufactured polymer revenue was Rs 254.42 cr / Rs 241.62 cr / Rs 237.00 cr (pp. 406, 408).
- **What it owns:** one plant at Goa on 24,220 sq m of land with eleven product-dedicated lines and 35,251 MTPA of installed capacity; capacity utilisation 75.26% for PE and 73.19% for XLPE in FY26 (pp. 123-124). Raw material (polyethylene) comes mainly from a few domestic petrochemical producers; one supplier was 71.68% of FY26 procurement (p. 39). 175 permanent employees (p. 275).
- **Approvals:** products are enlisted with a Maharatna power-transmission CPSE, a Navratna engineering CPSE and a Miniratna telecom CPSE, among others; enlistment involves product and process testing and takes years (pp. 139, 249).

Stage of the business

Classification: scaling, with a capacity expansion under way.

Evidence	Reading
Revenue Rs 296.36 cr → Rs 328.44 cr → Rs 349.43 cr (8.6% CAGR FY24-26)	Moderate growth, led by trading
Manufactured revenue Rs 254.42 cr → Rs 237.00 cr	The core business has been flat; the expansion is the step-change
Operating EBITDA margin 5.54% → 9.67% → 11.99%; Q1 FY27 14.46%	Mix and pricing improving
Capacity 35,251 → 87,301 MTPA (+148%) by FY28; utilisation ~75%	Growth depends on filling new lines
Operating cash flow positive each year; debt/equity 2.05x → 0.56x	Self-funding until now; the issue funds the next step

What the stage means: the value rests on filling a large new capacity with manufactured (higher-margin) volume rather than trading. The DCF captures that ramp-up; peer multiples price today's earnings.

2. Industry outlook

Source: CRISIL Intelligence report, **commissioned and paid for by the issuer** for this offer (p. 160).

- **Market size:** the global polymer compounding market was USD 75.5 bn in 2025 and is projected at USD 109.8 bn by 2031 (6.7% CAGR). India's market grew from USD 5.97 bn (2019) to USD 9.93 bn (2025) and is projected at USD 16.5 bn by 2031, about 9% a year (p. 179).
- **Demand drivers:** power transmission and renewable build-out (about 170 GW of solar and 47 GW of wind to be added FY26-31), power-cable market growth of about 15-16% a year in value, telecom fibre roll-out (BharatNet), the National Gas Grid, and water pipelines (pp. 160-246).
- **Structure:** a mix of multinational subsidiaries (Kingfa), large domestic compounders (DDev Plastiks, Plastiblends) and many small regional players. CPSE enlistment limits new entrants in power, telecom and pipeline applications (p. 249).
- **Cyclicality:** compounders pass through polyethylene prices with a lag; margins move with resin prices and capacity use. Export markets have raised tariffs in places (Nigeria, Algeria) (p. 51).

3. Moat and SWOT analysis

Moat

- **Approvals and qualification:** enlistment with CPSEs and utilities for cable and pipe-coating compounds is slow and costly to obtain, which protects incumbents in those segments (p. 249).
- **Product range:** 127 grades across PE, XLPE, HFFR, PVC and coating compounds let it serve a cable maker's full bill of compounds (p. 248).
- **Cost position:** a single plant with dedicated lines; scale will more than double with the expansion. Raw material is a commodity bought from a few large producers, so there is no input advantage.
- **Durability:** moderate. Approvals are a real barrier in regulated segments, but customers are concentrated and the product is specification-driven, so pricing power is limited.

STRENGTHS

- Enlisted with Maharatna, Navratna and Miniratna CPSEs for cable and pipe-coating compounds; approvals take years (pp. 139, 249)
- Operating EBITDA margin up from 5.54% to 11.99% FY24-26 and 14.46% in Q1 FY27 (p. 85)
- Cumulative operating cash flow 118% of PAT FY24-26; cash tax 24.7% of PBT (pp. 85-86)
- ROE 33.17% and ROCE 29.51% in FY26 (p. 144)
- Debt/equity down from 2.05x (FY24) to 0.56x (FY26) (p. 144)

WEAKNESSES

- Manufactured polymer revenue Rs 254.42 cr -> Rs 237.00 cr FY24-26 (pp. 406, 408)
- Resin trading 31.86% of FY26 revenue, at lower margins (p. 33)
- Top customer 31.74% and top-10 66.81% of FY26 revenue (p. 27)
- Top supplier 71.68% of raw-material procurement (p. 39)
- Single plant at Goa (p. 123)

OPPORTUNITIES

- Indian polymer compounding market USD 9.9 bn (2025) to USD 16.5 bn by 2031, ~9% CAGR (issuer-paid CRISIL report, p. 179)
- Capacity +148% to 87,301 MTPA by FY28 (p. 124)
- GCC distribution arrangement for exports to seven countries (p. 124)
- Power-cable and gas-pipeline build-out (National Gas Grid, transmission) (pp. 160-246)

THREATS

- Polyethylene price swings and dependence on a few petrochemical suppliers (p. 39)
- Execution and cost-overrun risk on a 148% capacity addition (p. 29)
- Export markets raising tariffs (Nigeria, Algeria) (p. 51)
- Larger, better-capitalised compounders (Kingfa, DDev) (p. 141)

4. Management analysis and governance

- **Promoters:** Vinod, Sushil, Madhukar, Diwakar and Karan Aggarwal, the family that also promotes BLS International Services (listed) (cover, p. 288). Karan Aggarwal (40), Chairman and MD since May 2025, has 14 years in the polymer industry; Vinod Aggarwal (72) has been a director since incorporation in 1991 (p. 290).
- **Board:** six directors: Chairman & MD, an executive director (Dinesh Sharma, with the company since 1991, head of marketing), one non-executive promoter director and three independent directors, including one woman (p. 288). Two independent directors joined in April 2025 and one in January 2026.
- **Group links to note:** independent director Manoj Joshi is also an independent director of group companies BLS International and BLS E-Services; independent director Shivani Mishra and executive director Dinesh Sharma hold directorships in other group-related companies (pp. 288-290).
- **Pay:** FY26 executive pay Rs 0.37 cr (Karan Aggarwal Rs 0.24 cr, Dinesh Sharma Rs 0.13 cr); MD basic pay capped at Rs 36 lakh a year (pp. 291-292). Pay to promoter relatives (Rs 1.81 cr) and to Vinod Aggarwal (Rs 0.53 cr) in FY24 stopped from FY25 (pp. 88-89).
- **Shareholding:** promoters and promoter group 98.53% before the issue, about 71.5% after (pp. 107, 117). Promoters' average cost Rs 2.13-14.93 a share after the 2025 bonus (p. 112). No OFS: no existing holder sells.
- **Related parties:** promoter-group trader Vinsul Makardi Limited (purchases from it Rs 32.35 cr in FY26, 9.26% of revenue; sales to it Rs 9.46 cr in FY24, nil in FY26; Rs 9.00 cr letter of comfort given in FY25, since released) and Basant India Limited (a Rs 8.97 cr loan repaid in FY25, interest of Rs 0.30 cr waived) (p. 89). The RHP notes Vinsul Makardi trades in similar products (p. 46).
- **Litigation:** no criminal, regulatory or material civil proceedings against the company or promoters; the company has filed cheque-dishonour and recovery cases, including an FIR over Rs 1.89 cr owed by a cable maker (pp. 430-435). A 2023 SEBI summons concerned trading in BLS International shares, not this company (p. 49).
- **Auditor:** Nangia & Co. LLP (peer-reviewed); no change in three years (p. 94).
- **Other:** 46 shareholders holding 3.33 lakh shares are untraceable; their bonus shares sit in a suspense account (p. 33).

Governance read. A family-run company with long-serving management, clean litigation record and an established auditor. Points to monitor: purchases from a promoter-group trader in the same business, independent directors with group directorships, and post-listing pay as profits grow.

5. Historical financials and ratios

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

Rs crore	FY24	FY25	FY26	Q1 FY27 (3 months)
Revenue from operations	296.36	328.44	349.43	107.03
of which resin trading	41.00	85.72	111.32	18.85
Growth	n.a.	10.82%	6.39%	n.m.
Gross margin (our computation)	16.1%	19.2%	22.2%	n.m.
Operating EBITDA (our computation, excl. other income)	16.41	31.77	41.90	15.47
Operating EBITDA margin	5.54%	9.67%	11.99%	14.46%
EBITDA per issuer KPI (leaves other income in)	21.05	39.66	46.60	16.21
Other income	5.15	8.26	4.98	0.78
PAT	7.52	21.14	27.01	10.23
Cash flow from operations	2.65	25.13	38.06	-6.64
Inventory	62.44	54.62	72.59	72.48
Trade receivables	62.69	73.73	72.71	95.15
Borrowings	93.77	73.92	51.72	62.91
Net worth	46.83	67.94	94.93	105.17
ROE (issuer)	17.48%	36.83%	33.17%	10.22% (not annualised)
ROCE (issuer)	12.84%	25.46%	29.51%	9.11%

Sources: pp. 84-86, 144, 33, 406-408. Operating EBITDA = PBT + finance cost + D&A - other income, from the restated P&L (p. 85); the issuer's KPI EBITDA does not net off other income in full despite its stated definition (p. 144).

At the reported upper band (Rs 150): post-issue shares 6.2032 crore; market cap Rs 930.48 cr; P/E 34.5x FY26 EPS on post-issue shares (25.0x on pre-issue EPS of Rs 5.99); post-issue net worth about Rs 349.93 cr before issue expenses, NAV Rs 56.41, P/B 2.66x; EV Rs 724.77 cr (market cap + FY26 net debt Rs 49.29 cr - Rs 255 cr proceeds), EV/EBITDA 17.3x FY26 operating EBITDA; post-money ROE about 7.7% on FY26 profit. At Rs 142: market cap Rs 880.85 cr, P/E 32.6x. Bank debt was Rs 82.36 cr at 31-Aug-2026, almost all working-capital lines (p. 425).

Positives and points to monitor

Positives	Points to monitor
Operating EBITDA margin up each year to 11.99% (Q1 FY27 14.46%) (p. 85)	Manufactured revenue flat FY24-26; growth from trading (pp. 33, 406)
Operating cash flow 118% of cumulative PAT (p. 86)	Q1 FY27 receivables up Rs 22.44 cr; CFO -Rs 6.64 cr (pp. 84, 86)
Debt/equity cut from 2.05x to 0.56x (p. 144)	Top customer 31.74% of revenue; top supplier 71.68% of procurement (pp. 27, 39)

Positives	Points to monitor
No litigation against the company or promoters (p. 430)	Purchases from promoter-group trader 9.26% of revenue (p. 89)

Is the reported P/E right? Earnings quality at Rs 150

Reported P/E is a fair measure: the adjustments found move FY26 PAT by -2.8%, within the 10% threshold. On the FY24-FY26 average, which smooths one-year items, the P/E is 50.1x reported and 56.4x adjusted.

BASIS	PAT (RS CR)	EPS (RS)	P/E
Reported FY26	27.01	4.35	**34.5x**
FY26 after: liability write-backs	26.26	4.23	**35.4x**
FY26 after: related-party interest waiver	26.26	4.23	**35.4x**
FY24-FY26 average, reported	18.56	2.99	**50.1x**
FY24-FY26 average, adjusted	16.5	2.66	**56.4x**

Items found (pre-tax, Rs crore; negative reduces profit)

ITEM AND REASON	FY24	FY25	FY26	IN ADJUSTED P/E	CONFIDENCE	FY26 P/E IF APPLIED	PAGE
Liabilities and provisions written back (in other income) Other income includes write-backs of liabilities 'unpaid for long and deemed no longer payable': Rs 2.80 cr, Rs 4.14 cr and Rs 1.00 cr FY24-26. Non-cash and not from operations.	-2.8	-4.14	-1	! Yes	High	35.4x	pp. 86, 406, 409
Interest waived by related party Basant India Limited Interest of Rs 0.30 cr accrued on a related-party loan in FY24 was waived in FY25, a one-off credit.	0	-0.3	0	! Yes	Medium	34.5x	p. 89
Promoter-family pay at the FY24 level Pay to promoter relatives and a	0	-2.34	-2.1	No (information)	Low	36.6x	pp. 88-89

ITEM AND REASON	FY24	FY25	FY26	IN ADJUSTED P/E	CONFIDENCE	FY26 P/E IF APPLIED	PAGE
promoter (Rs 2.34 cr in FY24) stopped from FY25; FY26 executive pay was Rs 0.37 cr. A choice that lifts FY25-26 profit, not an accounting entry; shown for information.							
Interest and other income on deposits and receivables Recurring but non-operating; excluding it gives the operating P/E.	-1.45	-2.52	-2.8	No (information)	High	37.4x	p. 86

Also checked, no adjustment needed

✔ Pass Capital work in progress (Rs 1.74 cr FY26, Rs 3.46 cr Jun-26) is the Goa expansion funded by the objects, not P&L costs parked on the balance sheet (pp. 84, 121-124)

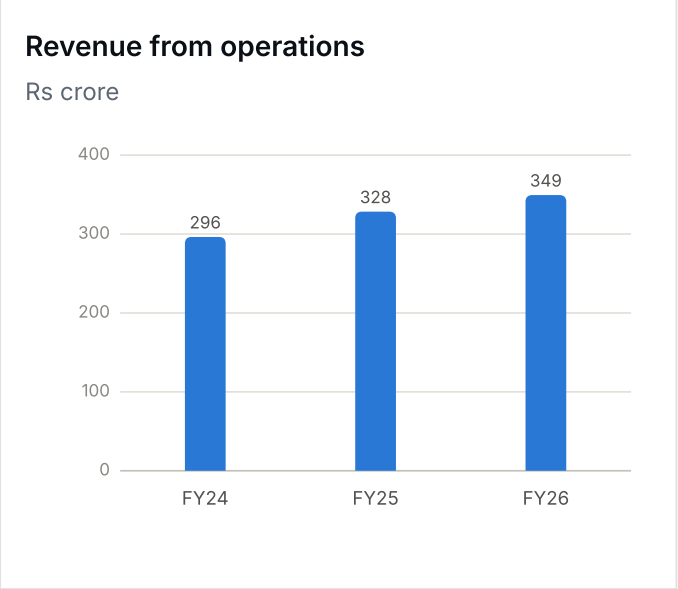
✔ Pass Bad debts, doubtful-debt provisions and inventory write-downs are charged through profit (p. 86)

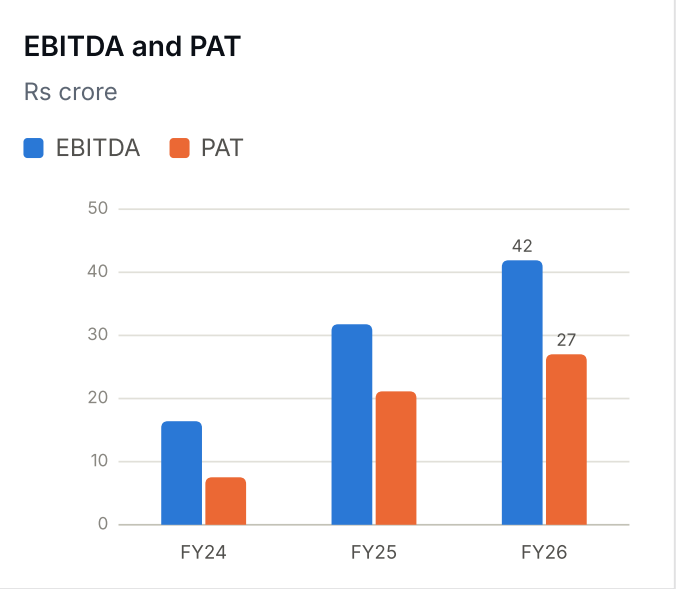
✔ Pass Cash conversion: cumulative operating cash flow is 118% of PAT FY24-26 (p. 86)

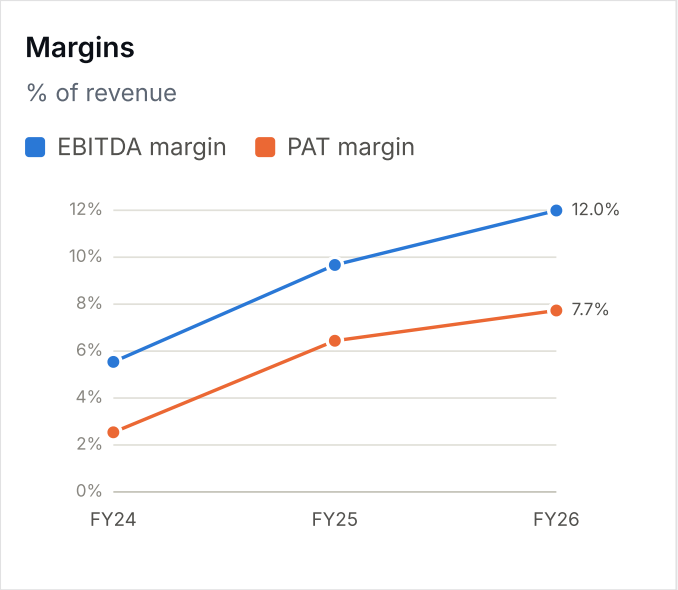
✔ Pass Profit taxed in cash: current tax 24.7% of cumulative PBT (p. 85)

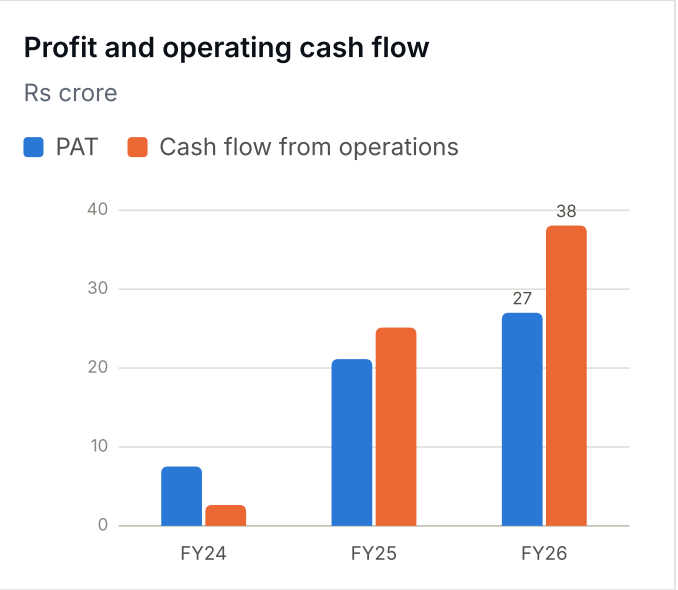
✔ Pass No exceptional items in FY24-26 (p. 85)

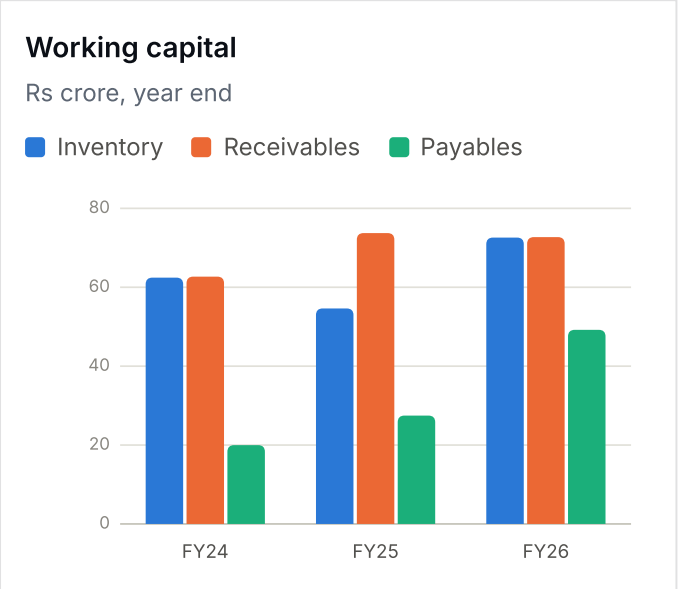
✔ Pass No change of auditor in three years (p. 94)

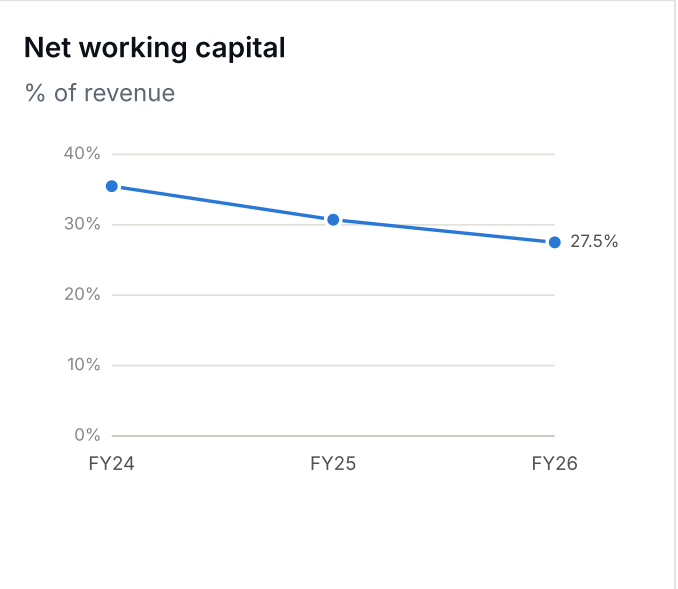












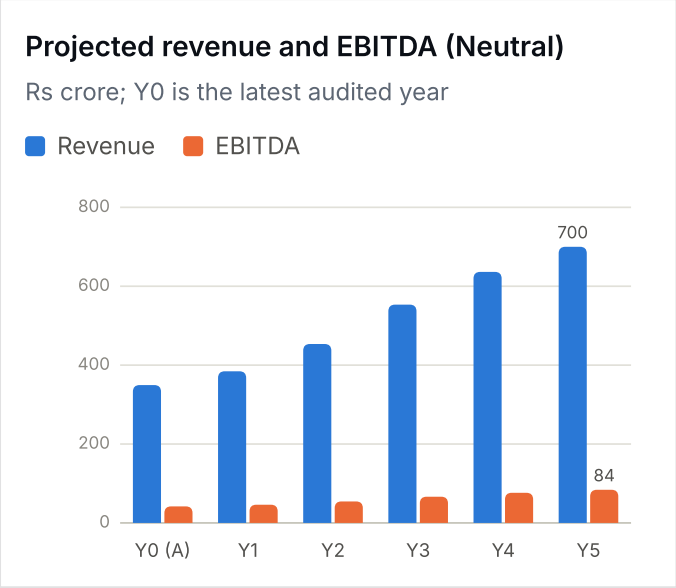
6. Future outlook and projections

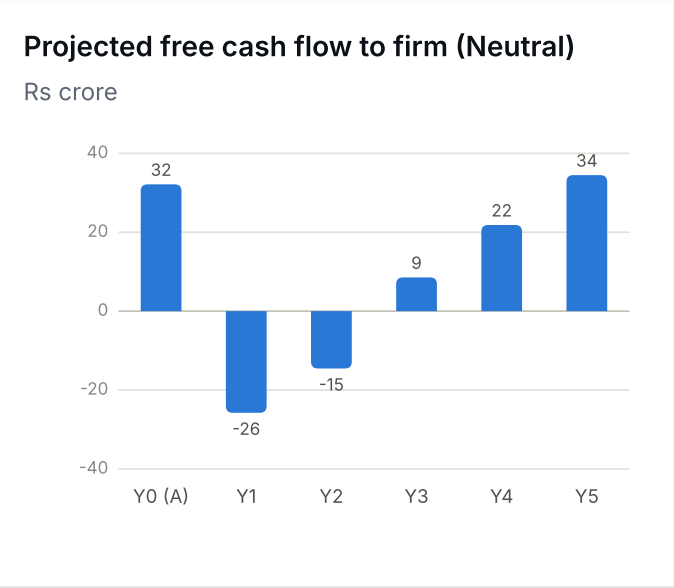
Neutral case from the valuation model; Bear and Bull are in the valuation workbook.

- **Capacity:** the expansion adds 29,192 MTPA of PE and 22,858 MTPA of XLPE (52,050 MTPA in all) at the existing Goa site, taking capacity to 87,301 MTPA; commercial production of all new lines by FY28 (p. 124). Cost Rs 77.56 cr (civil works Rs 42.93 cr, plant and machinery Rs 34.63 cr), certified by an independent chartered engineer; Rs 11.79 cr already spent (pp. 122, 124).
- **Working capital:** Rs 89.50 cr of proceeds for working capital in FY27-28 (p. 122), reducing reliance on bank lines.
- **Markets:** a new service agreement with a UAE distributor covers Egypt, the UAE, Saudi Arabia, Bahrain, Kuwait, Oman and Qatar (p. 124); domestic demand from power cables, telecom and gas pipelines (part 2).
- **What management says:** the expansion is sized for domestic demand and expected export orders, with current PE and XLPE lines near optimal utilisation (p. 124). No revenue guidance.
- **Our projections (revenue, Rs crore):**

	FY27	FY28	FY29	Driver
Bear	366.9	396.3	435.9	Slow ramp-up; trading stays a large share
Neutral	384.4	453.6	553.3	New lines filling from FY28; EBITDA margin 12.0%
Bull	401.8	502.3	653.0	Faster ramp-up plus GCC exports

What has to go right: filling 52,050 MTPA of new capacity with manufactured compounds at today's margins (12.0% operating EBITDA in FY26). **What is already in place:** land, approvals and customer base; the capex is quoted and partly spent.





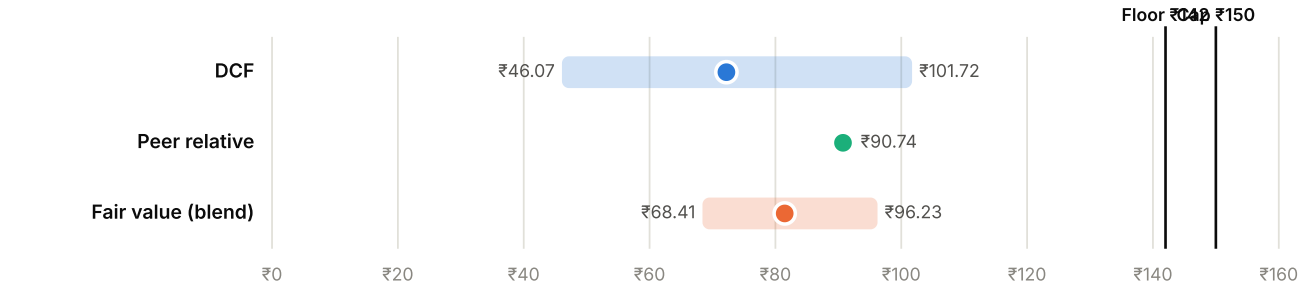
7. Valuation: DCF and peer comparison (P2P)

DCF and peer values shown separately, then blended. Reference: Upper band Rs 150 (press reports; exchange notice pending). At Rs 150: market cap Rs 930.48 cr post-issue; P/E 34.5x FY26 EPS on post-

issue shares (25.0x pre-issue); P/B 2.66x post-issue; EV/EBITDA 17.3x FY26 operating EBITDA. Objects floor Rs 98.27 (capex + working capital over 1.70 crore fresh shares).

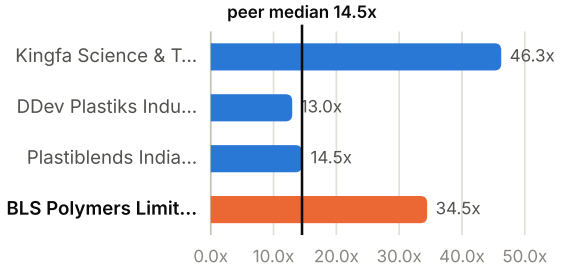
Value per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical lines mark the price band.



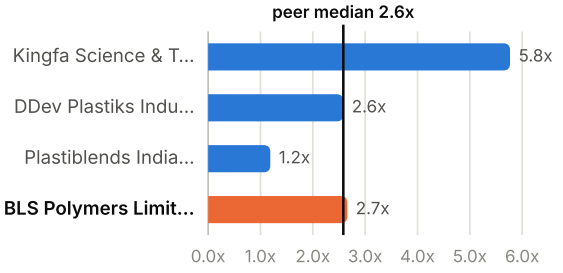
Peer P/E

Issuer at the reference price (orange) vs listed peers



Peer P/B

Issuer on post-issue net worth



Scenario summary

RS/SHARE	DCF	RELATIVE	FAIR VALUE	VS REFERENCE
Bear	₹46.07	₹90.74	**₹68.41**	-54.4%
Neutral	₹72.21	₹90.74	**₹81.48**	-45.7%
Bull	₹101.72	₹90.74	**₹96.23**	-35.9%

WACC **14.3%**

Terminal value share of EV **99.0%**

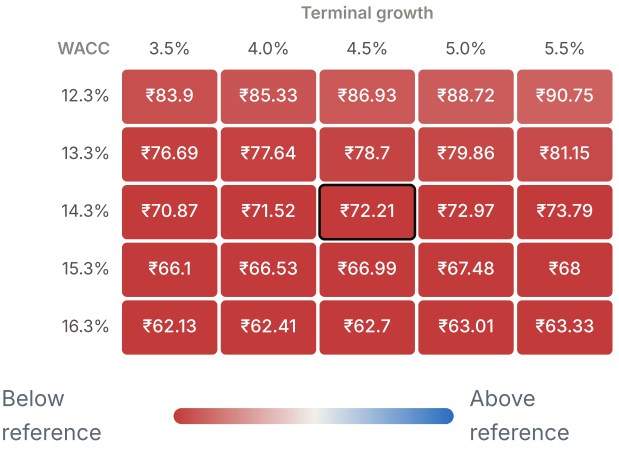
Reverse DCF: what the reference price assumes

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	9.5%	4.5%
implied WACC at terminal g	9.1%	14.3%
required EBIT margin (steady state)	34.7%	11.2%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	27.5%

The price asks the business to deliver 22.5 times its current free cash flow, in perpetuity.

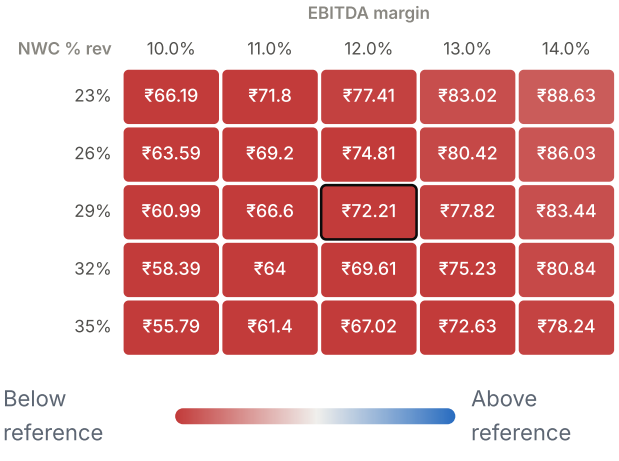
Sensitivity: WACC vs terminal growth

DCF value per share (Rs). Blue above, red below the reference.



Sensitivity: working capital vs EBITDA margin

DCF value per share (Rs).



Peer comparison (P2P)

Peers are those in the RHP's "Basis for Issue Price" (pp. 141, 145); prices are NSE closes on 12-Oct-2026, FY26 figures; CMP derived from the printed P/E and EPS.

Company	CMP (Rs)	Revenue FY26 (Rs cr)	Rev. growth FY26	EBITDA margin	PAT margin	ROE	P/E	P/B
Kingfa Science & Technology (India)	6,664.62	1,995.55	14.4%	14.13%	9.28%	17.41%	46.3x	5.8x
DDev Plastiks Industries	252.92	2,947.87	13.2%	10.86%	6.85%	21.84%	13.0x	2.6x
Plastiblends India	205.16	788.66	1.1%	8.38%	4.65%	8.37%	14.5x	1.2x
BLS Polymers at Rs 150 (post-issue)	150	349.43	6.4%	13.33% (issuer KPI; 11.99% operating)	7.73%	33.17%	**34.5x**	**2.7x**
Peer median			13.2%	10.86%	6.85%	17.41%	14.5x	2.6x

Read: BLS earns a higher ROE (33.17%) and EBITDA margin (11.99% operating; peers' margins are as each reports) than the median peer, but it is a tenth of DDev Plastiks' size, has a single plant and grew more slowly in FY26. Its post-issue P/E of 34.5x is more than twice the median (14.5x) and 2.7 times DDev Plastiks (13.0x), the closest business; only Kingfa, a larger multinational subsidiary, trades higher. On P/B it is in line with the median.

DCF and fair value

Inputs (FY26, Rs crore): revenue 349.43; operating EBITDA 41.90; D&A 2.88; PAT 27.01; net worth 94.93; net debt 49.29; trade working capital 96.09 (FY25 100.89); base-year capex 4.73 (excluding expansion CWIP). Fresh issue Rs 255 cr at Rs 150 with 1.70 crore new shares; IPO capex still to spend Rs 65.77 cr in the Neutral and Bull cases.

Cost of capital (house CAPM, editable): risk-free 6.5%, beta 1.10, ERP 7.0%, size premium 2.0%, no company-specific premium; cost of equity 16.2%; pre-tax cost of debt 9.0% (RHP range 5.8-12.0%, pp. 426-427); debt weight 20%; **WACC 14.31%**; terminal growth 4.50%.

Neutral free cash flow (Rs crore):

	FY26 actual	Y1	Y2	Y3	Y4	Y5
Revenue growth	6.4%	10%	18%	22%	15%	10%
Revenue	349.43	384.37	453.56	553.34	636.34	699.98
EBITDA (12.0%)	41.90	46.12	54.43	66.40	76.36	84.00
NOPAT	29.20	32.15	37.93	46.28	53.22	58.54
Free cash flow to firm	32.14	-25.77	-14.54	8.54	21.83	34.48

Years 1-2 carry the expansion capex, funded by the issue proceeds, which are credited in the equity bridge. Terminal value is 99.0% of enterprise value (model caution: the DCF leans on the terminal year because the expansion pays back late).

Rs per share	Bear	Neutral	Bull
DCF	46.07	72.21	101.72
Relative (peer-median P/E and P/B)	90.74	90.74	90.74

Rs per share	Bear	Neutral	Bull
Fair value (50:50 blend)	**68.41**	**81.48**	**96.23**
Against Rs 150 (upper band)	-54.4%	-45.7%	-35.9%
Against Rs 142 (floor)	-51.8%	-42.6%	-32.2%

- **Scenario drivers:** growth 5-10% / 10-22% / 15-30% a year with the step-up in FY28-29; operating EBITDA margin 9.1% / 12.0% / 14.5%; working capital 33% / 29% / 27% of revenue; terminal ROIC 14% / 18% / 22%. Rationale and page cites are in the valuation workbook.
- **Sensitivity (Neutral DCF):** WACC 12.3-16.3% gives Rs 87-63; working capital 23-35% with a 10-14% margin gives Rs 56-89. Margin is the main lever.
- **Earnings quality and the relative value:** the reported P/E is a fair measure (part 5), so the relative value needs no adjustment.
- **Objects floor:** Rs 98.27 a share (Rs 167.06 cr of objects over 1.70 crore shares) is below the band but above every fair-value case.
- **Reverse DCF at Rs 150:** the price asks the business to deliver 22.5 times its current free cash flow in perpetuity; one lever at a time, it needs perpetual growth of 9.5% (vs 4.5%), or a WACC of 9.1% (vs 14.3%), or a steady-state EBIT margin of 34.7% (vs 11.2%). **In plain words: the price assumes the expansion is filled quickly and that the market will value BLS like Kingfa rather than like DDev Plastiks.**

8. Areas to watch and growth drivers

Growth drivers to track

- **Capacity ramp-up:** commissioning of the new PE and XLPE lines through FY28 and utilisation of the enlarged 87,301 MTPA plant (p. 124).
- **Mix:** share of manufactured compounds versus resin trading (31.86% of FY26 revenue) (p. 33).
- **Margins:** operating EBITDA margin holding at 12-15% (FY26 11.99%, Q1 FY27 14.46%) (p. 85).
- **Exports:** orders through the GCC distribution arrangement (p. 124).
- **End-markets:** power-cable, telecom-fibre, gas-grid and water-pipeline orders (part 2).

Points to monitor

Item	Now	Why it matters to an investor
Customer concentration	Top customer 31.74% of FY26 revenue (p. 27)	One customer moves revenue
Supplier concentration	Top supplier 71.68% of procurement (p. 39)	Supply and pricing of polyethylene
Related-party trader	Purchases from Vinsul Makardi 9.26% of revenue (p. 89)	Pricing and overlap with the group trader
Receivables	Rs 95.15 cr at Jun-26 vs Rs 72.71 cr at Mar-26 (p. 84)	Cash conversion in FY27
Board independence	Independent directors with group directorships (pp. 288-290)	Oversight of related-party dealings
Monitoring agency	Required above Rs 50 cr of fresh issue	Use of proceeds

What would change our view

- **Towards Neutral or Subscribe:** a final band materially below Rs 150 (fair value Rs 81-96); or evidence by FY28 that the new lines run above 60% utilisation at a 13%+ operating EBITDA margin, which would lift the Neutral DCF towards the Bull case.

- **Towards a firmer Avoid:** delays or cost overruns on the expansion, or the trading share rising further.
- **Price:** on today's numbers the call would be Neutral at a price between about Rs 91 and Rs 116 (where Neutral fair value is 10-30% below) and Subscribe at about Rs 90 or below.

Risks

- Polyethylene price volatility and supplier dependence (p. 39).
- Expansion delay or overrun (p. 29).
- Concentrated customers in cables and pipe coating (p. 27).
- Working capital needs as revenue grows (p. 84).
- Export-market tariffs and geopolitics (p. 51).

9. Conclusion

CALL **Avoid**

STAGE Mainboard · RHP

A profitable, cash-generative polymer compounder doubling capacity, priced at 34.5x FY26 earnings after the issue against a 14.5x peer median; our fair value is Rs 81 (Neutral) against Rs 150, because growth in the core manufactured business has been flat and the price already pays for the expansion.

Business stage Scaling (capacity expansion under way)

Avoid at Rs 150 (reported upper band).

The investment case. BLS is a 35-year-old polymer compounder with CPSE approvals in cables and pipe coating, an operating margin that rose from 5.5% to 12.0% in two years, profit that turns into cash, and a balance sheet that has deleveraged from 2.05x to 0.56x debt/equity. The issue is all fresh money and funds a 148% capacity increase at its Goa plant plus working capital. The reported P/E is a fair measure of its earnings.

Why the price is too high. The core manufactured business was flat over FY24-26 (growth came from trading resin), and the expansion will take until FY28 to commission. At Rs 150 the post-issue P/E is 34.5x, against 13.0x for DDev Plastiks and a 14.5x peer median; the price already pays for a successful expansion.

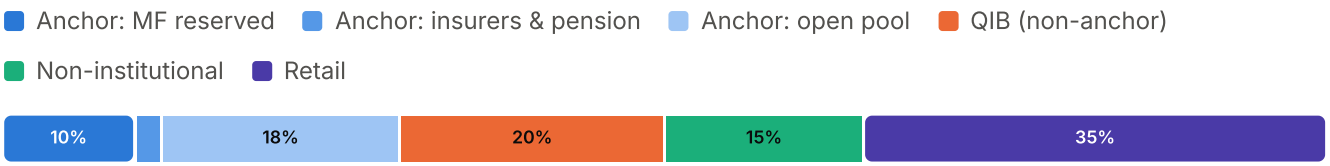
Valuation. Fair value Rs 68 / **Rs 81** / Rs 96 (Bear / Neutral / Bull), -45.7% against Rs 150 in the Neutral case. **Call rule:** the Neutral value is more than 30% below the price and the Bull value is also below it, so the call is **Avoid**, on valuation alone. No material issue was found.

Appendix

Offer structure and lock-ins, lead managers' track record, diligence checks and supporting detail.

Issue split by investor category (Rs 255 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Anchor - tranche 1	25.5	30
Anchor - tranche 2	25.5	90
Pre-issue public shareholders (6.61 lakh shares)	6.61	180
Promoter holding above 20% of post-issue capital	319.65	365
Promoters' minimum contribution (20% of post-issue capital)	124.06	1095

Diligence checks

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✔ Pass	Bonus of 3,54,30,164 shares (28-May-2025) is reflected: EPS 1.67 / 4.69 / 5.99 FY24-26 are on the post-bonus count of 4,50,31,834 shares.	pp. 102, 140
2	Cash flow vs profit	✔ Pass	Operating cash flow Rs 2.65 cr / 25.13 cr / 38.06 cr FY24-26 against PAT Rs 7.52 cr / 21.14 cr / 27.01 cr: cumulative CFO/PAT 118.3%. Q1 FY27 CFO -Rs 6.64 cr as receivables rose.	p. 86
3	Current vs deferred tax	✔ Pass	Current tax 24.7% of cumulative FY24-26 PBT; deferred tax small.	p. 85
4	Related-party capex & subsidiaries	! Watch	Promoter-group trader Vinsul Makardi Limited: purchases from it Rs 32.35 cr in FY26 (9.3% of revenue) and Rs 8.12 cr in Q1 FY27; sales to it Rs 9.46 cr in FY24 falling to nil; receivable Rs 6.46 cr at Jun-26; Rs 9.00 cr letter of comfort given for it in FY25. Disclosed.	pp. 46, 89
5	Objects arithmetic as price floor	✔ Pass	Objects Rs 167.06 cr (capex Rs 77.56 cr + working capital Rs 89.50 cr) over 1.70 crore fresh shares = Rs 98.27 a share before GCP and expenses, below the Rs 142 floor of the reported band.	p. 121
6	Revaluation reserve	○ Open		
7	Goodwill vs tangible equity	✔ Pass	No goodwill or material intangibles.	p. 84
8	Customer / supplier / geographic concentration	! Watch	Top customer 31.74% and top-10 66.81% of FY26 revenue; top supplier 71.68% of FY26 raw-material procurement. Typical of a compounder buying resin from a few petrochemical producers; no long-term supply contract stated.	pp. 27, 39
9	Contingent liabilities	✔ Pass	Contingent liabilities Rs 9.72 cr (10.2% of FY26 net worth), mainly an Rs 8.00 cr bank guarantee to IOCL; the Rs 9.00 cr letter of comfort for a related party was released by FY26.	p. 87
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	✔ Pass	Nangia & Co. LLP (peer-reviewed); no change of auditor in three years.	p. 94
R2	CARO / audit trail	○ Open		
R3	Monitoring agency	! Watch	Fresh issue about Rs 255 cr at the reported upper band: a monitoring agency is required above Rs 50 cr; appointment to be confirmed in the Prospectus.	p. 121
R4	Eligibility re-computation	○ Open		
R5	SME conditions	– N.A.	Mainboard issue under Reg 6(1).	cover
R6	Lead-manager track record	✔ Pass	Unistone Capital track record compiled from the RHP.	pp. 452-453

#	CHECK	RESULT	FINDING	PAGE
R7	Firm means of finance	○ Open		

Under the Fund's rules a check is marked Fail only for a material issue; normal features of the business are Watch items, covered in part 8.

Appendix A: Offer, anchor book and lock-ins

- **Structure:** fresh issue of up to 1.70 crore shares (about Rs 255 cr at Rs 150); QIB up to 50% (anchor up to 60% of that), NII at least 15%, retail at least 35% (cover). No offer for sale.
- **Objects:** Goa expansion capex Rs 77.56 cr (of which Rs 11.79 cr recouped), working capital Rs 89.50 cr, general corporate purposes up to 25% of gross proceeds (p. 121).
- **Anchor book:** anchor bidding on 26-Oct-2026; not yet available.
- **Lock-ins (p. 117-118):** promoters' minimum contribution (20% of post-issue capital, about 124.06 lakh shares) for three years; promoter holding above that (about 319.65 lakh shares) for one year; other pre-issue holders (6.61 lakh shares) for six months; anchor shares 50% for 30 days and 50% for 90 days.

Appendix B: Merchant bankers

Unistone Capital Private Limited (sole BRLM; ownership not sourced in this run). Its past-issue table (pp. 452-453) lists two mainboard and eight SME issues in FY25-FY27:

Issue	Platform	Listed	Size (Rs cr)	Issue price	Opening	Day 30	Day 90	Day 180
Pace Digitek	Mainboard	06-Oct-2025	819.15	219	225.00	-0.07%	-13.72%	-29.40%
Fabtech Technologies	Mainboard	07-Oct-2025	230.30	191	192.00	+21.53%	+2.15%	-24.56%
Bhadora Industries	SME	11-Aug-2025	55.62	103	101.00	-0.92%	-14.76%	-35.52%
Jyoti Global Plast	SME	11-Aug-2025	35.44	66	65.90	-12.20%	-9.09%	-32.58%
Sawaliya Foods Products	SME	14-Aug-2025	34.83	120	246.00	+104.42%	+91.67%	+154.17%
Vigor Plast India	SME	12-Sep-2025	25.10	81	85.00	+9.38%	-0.12%	-35.19%
Suba Hotels	SME	07-Oct-2025	75.47	111	154.20	+51.26%	+26.80%	-0.54%
Speb Adhesives	SME	08-Dec-2025	33.73	56	60.00	-3.57%	-7.14%	+69.64%
Speciality Medicines	SME	30-Mar-2026	29.14	124	124.00	+180.48%	+61.85%	+30.81%
Propshop Events and Exhibitions	SME	03-Aug-2026	28.56	69	55.20	+8.19%	n.a.	n.a.

Read: a smaller manager with mostly SME issues and wide dispersion of outcomes; both mainboard issues were 25-29% below the issue price at day 180. Current prices and issuer financials were not sourced in this run.

Appendix C: Diligence checks

#	Check	Status	Finding
1	Bonus issue and share count	PASS	May-2025 bonus reflected in EPS (pp. 102, 140)
2	Cash flow vs PAT	PASS	Cumulative CFO/PAT 118% (p. 86)
3	Current vs deferred tax	PASS	Current tax 24.7% of PBT (p. 85)
4	Related-party dealings	WATCH	Purchases from promoter-group trader 9.26% of FY26 revenue (p. 89)
5	Objects as price floor	PASS	Rs 98.27 floor, below the reported band (p. 121)
7	Goodwill	PASS	None (p. 84)
8	Concentration	WATCH	Top customer 31.74%; top supplier 71.68% (pp. 27, 39)
9	Contingent liabilities	PASS	Rs 9.72 cr, 10.2% of net worth (p. 87)
R1	Auditor	PASS	No change in three years (p. 94)
R3	Monitoring agency	WATCH	Required; confirm in the Prospectus
R6	BRLM track record	PASS	Compiled above (pp. 452-453)

No check met the Fund's test for a material issue.

Appendix D: Data gaps and verification

Data gaps

Item	Severity	Where to source
Price band and lot size: press reports only at writing	Medium	NSE / BSE price-band notice
Issue expenses and GCP amount blank	Medium	Prospectus
Names of the top customer and top supplier	Medium	Issuer
Insurance-claim and miscellaneous income amounts	Low	RHP other income note
Anchor book	Low	Exchange filing after 26-Oct-2026
Unistone Capital ownership; current prices of its past issues	Low	MCA / exchanges

Verification

- **Restated P&L reproduces:** FY26 total income Rs 354.41 cr less expenses Rs 318.43 cr = PBT Rs 35.99 cr; less tax Rs 8.98 cr = PAT Rs 27.01 cr (p. 85).
- **Balance sheet balances:** FY26 total assets Rs 206.13 cr = equity Rs 94.93 cr + liabilities Rs 111.20 cr (p. 84).
- **Cash flow:** FY26 operating, investing and financing (+38.06, -6.36, -31.05) sum to the +0.66 change in cash (p. 86).
- **EBITDA does not reproduce the KPI table:** PBT + finance cost + D&A - other income = 35.99 + 8.02 + 2.88 - 4.98 = Rs 41.90 cr for FY26, against Rs 46.60 cr in the KPI table (p. 144), which states that EBITDA is net of other income. PBT + finance cost + D&A alone is Rs 46.88 cr, close to the KPI figure, so the KPI appears to leave most other income in. The model uses our operating figure (Rs 41.90 cr).
- **Workbooks:** the toolkit verification gate passed on this build.

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